

Misconduct by Insurance Agents

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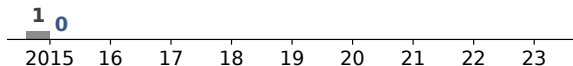
Does the Labor Market for Insurance Agents Punish Misconduct?

- **Nearly everyone buys insurance, and much of it is mandated.** Auto liability to drive, health coverage by mandate, homeowners for any mortgage. 92% of Americans hold health insurance.
- **Insurance is complex and consumers cannot evaluate it, so they rely on agents.** Customers pay up front and learn the quality of what they bought later, at a claim, if at all.
- **Not a typical principal-agent problem.** One agent is appointed by many carriers at once, and none of them employs him. Any discipline has to come from insurers and regulators.
- **Whether they do is an open question.** Access to the data has been the challenge: misconduct records **sit with state regulators and, outside Texas, are not public.**

An Example: William Corchado

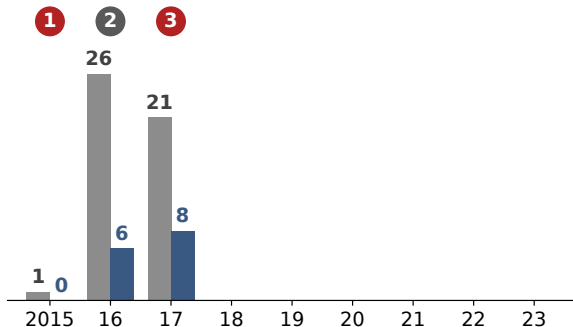
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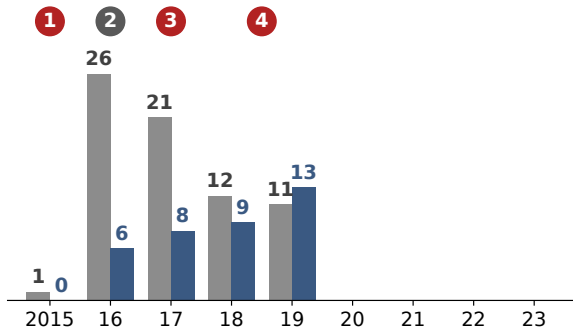
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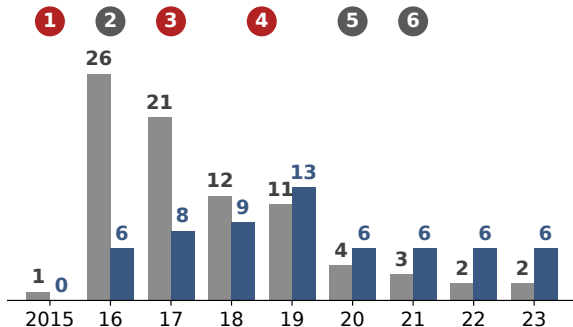
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One commission for him. For his customer, a contingent claim that failed when he needed it.

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5 2020: Arkansas and North Carolina revoke; Sep 30, ten carriers drop him in one day.

6 Nov 2021: Pennsylvania fines him \$1,000, license kept; six carriers through 2023.

Why Nobody Could Act: There Is No Public Record

- Corchado's complaints sat with state regulators. For a broker they would be on BrokerCheck, and the market responds (Egan, Matvos and Seru 2019).
- Insurance has no comparable record, and three times as many sellers: about 2.4M licensed producers against roughly 700,000 financial advisers.
- Two prior studies use Texas data (Brown and Minor 2015; Honigsberg, Hu and Jackson 2025). Texas is the one state that posts it. **We have the confidential complaint file for 26 states, covering their agent populations.**

This paper

The largest record of U.S. insurance-agent misconduct assembled so far. One question: **does the labor market discipline it? If not, why not?**

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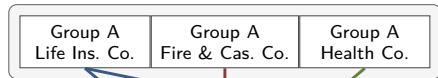
- ❶ **Past misconduct predicts future misconduct.** An agent with a prior complaint is about **ten times** more likely to receive another.
- ❷ **The labor market penalty is weak.** A complaint is associated with **about one percentage point** more exit, relative to a 6% baseline, and lost appointments are replaced. Even a license revocation leaves four in five agents in the industry the next year.
- ❸ **The penalty is larger where someone is watching.** About **3.5 times larger in Texas, the one state that posts complaints**, and on the brokerage side of the same agents. Texas has observability; brokerage has observability plus supervision.

Our Laboratory: The Insurance Agent

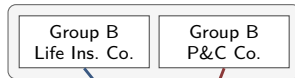
Carrier	the insurer that writes the policy; a group owns several (State Farm Life, State Farm Fire & Casualty)
License (LOA)	permission from a state to sell one <i>line of authority</i> (life & annuity, health, P&C); one license per state per line
Appointment	a carrier's filed authorization to sell its products; no appointment, no sale
Captive / independent	27% sell for one group; 73% hold appointments across groups
Confirmed complaint	a complaint the regulator investigated and substantiated; 0.13% of agent-years; seen by the regulator and the carrier involved; public only in Texas
Regulatory action	a fine, suspension or revocation by a state regulator; public everywhere
FINRA misconduct	for the 22% who are also brokers, a customer dispute on BrokerCheck (any dispute, including denied and pending)
Exit	appointments at the start of the year, none at year end or after; about 6% of agent-years
Regulator	each state licenses and disciplines its own agents; NAIC coordinates; NIPR's national file holds licenses, appointments and actions, not complaints

One Agent, Many Carriers, Many Regulators

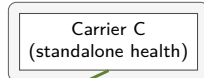
Insurance group A: one holding company, three carriers



Insurance group B



Group C



— P&C
— Life & annuity
— Health
one line = one appointment

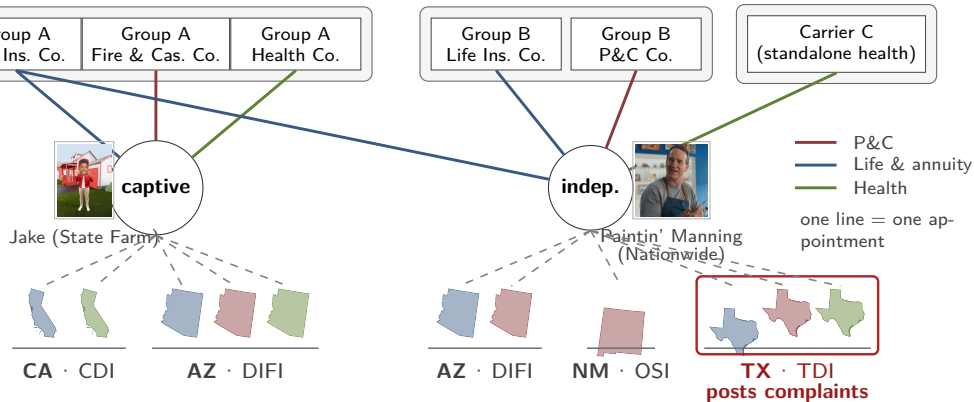
Captive agent: appointed by every carrier in one group. **Independent agent:** appointed by carriers in several groups, each deciding alone whether to keep him. The median agent has 7 carriers in 4 groups. A complaint about him is seen by at most one of them, and no single group can end his career.

One Agent, Many Carriers, Many Regulators

Insurance group A: one holding company, three carriers

Insurance group B

Group C



Now the regulators. One license per state *per line*, from that state's regulator. The captive agent holds five licenses under two regulators. The independent agent holds six under three (the sample mean). **No common monitor:** each carrier sees its own appointment, each regulator its own file, and only Texas is public. Nobody sees the whole agent.

Who Can See an Agent's Record?

	Regulators	Carriers / rival firms	Customers / public
Regulatory action	✓	✓	✓
FINRA (BrokerCheck)	✓	✓	✓
Complaint, most states	✓	own product only	×
Complaint, Texas	✓	✓	bulk file only
For-cause termination report	✓	sealed	sealed

Texas is the one place every carrier can see every complaint, which is what lets us test whether observability drives discipline.

Who Monitors the Agent?

	Can see	Can do	Bears
The customer	no complaints, on any of the 51 public lookups	file a complaint with the state	the loss: a contingent claim that fails at a claim
Each carrier (median 7)	complaints about its own products only; everything, in Texas	end its own appointment (reported within 30 days)	little of the cost; it earns the premiums
Each state regulator	complaints and actions in its own state	fine, suspend or revoke, in its own state	nothing directly; a revocation does not travel
The broker-dealer and FINRA (22%)	BrokerCheck disclosures; the firm supervises	the firm can fire; FINRA can bar	

Many monitors, each seeing a slice and bearing little. When responsibility is this fragmented, nobody has to act. **If discipline works, it works through carriers.**

Past Misconduct Predicts Future Misconduct

- **Is the hidden record worth acting on?** Agents with a complaint on file are about **ten times** more likely to receive the next one: 1.5 points on a base of 0.13% a year. A regulatory action is about 12 times more likely.

A regulator could act on this cheaply

Using *only* what a carrier could see ex ante (past misconduct and agent characteristics, no fixed effects), the riskiest 5% of agents account for 29.9% of next year's misconduct. That is nearly six times a random screen.

Does Anyone Act? Baseline: About One Point

Effect in the year of the event	Exit industry	Carrier terminations	New appointments	Net appointments
Confirmed complaint	1.00***	0.71***	0.56*	-0.19
Regulatory action	5.76***	2.33***	1.56***	-1.59*
revocation	14.01***	3.59***	-0.07	-5.71***
any other action	0.45	1.57***	2.53***	0.89

A complaint is associated with about one percentage point more exit, relative to a 6% baseline. Insurers do respond: terminations increase 11% relative to baseline. But new appointments increase too (7%, significant at the 10% level), so the net number of appointments is unchanged.

Exit and terminations in percentage points; new and net appointments as $100 \times \log$ growth. Exit: county $\times$ year $\times$ line fixed effects (an agent against agents in the same county, year and line). Appointments add agent fixed effects.

How Small Is One Point?

- **For brokers, misconduct raises job loss within a year by 31 points**, from a 19% base to about half (Egan, Matvos and Seru 2019). 44% of those who lose the job are back within a year. Job separation is a broader margin than our industry exit.

Relative to baseline: one point more exit on a 6% base (17%), and **0.7 points** more terminations (11%). For a broker, 31 points on a 19% base. Small because insurers do not care, or because they cannot see? The next test separates the two.

Research Design: The Texas Test

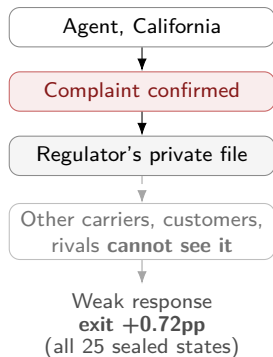
$$Y_{i,t} = \beta \text{Misc}_{i,t} + \gamma \text{RegAct}_{i,t} + \delta' \mathbf{X}_{i,t} + \lambda_{c \times t \times \ell} + \varepsilon_{i,t}$$

- **Ideal experiment:** the same confirmed complaint, with a coin flip on whether carriers can see it. Texas is the closest thing.
- Y : exit from the industry; carrier terminations and new appointments (those add agent fixed effects). County $\times$ year $\times$ line-of-authority fixed effects; clustered by agent.
- 794,796 agents, 3.23M agent-years (regression sample), 26 states, 2017–2022.
- **The Texas interaction** adds $\text{Misc}_{i,t} \times \text{Texas}$: the same confirmed complaint, public in Texas and not elsewhere. The gap between two such agents is the coefficient; the next slide draws them.

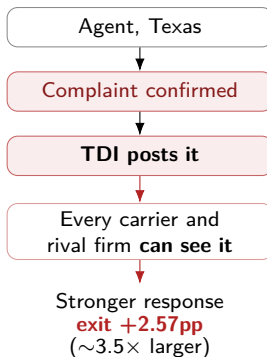
One Complaint, Two Disclosure Regimes

Two agents, the same confirmed complaint, same line, same year

Filed in **Sacramento**: sealed



Filed in **Austin**: posted

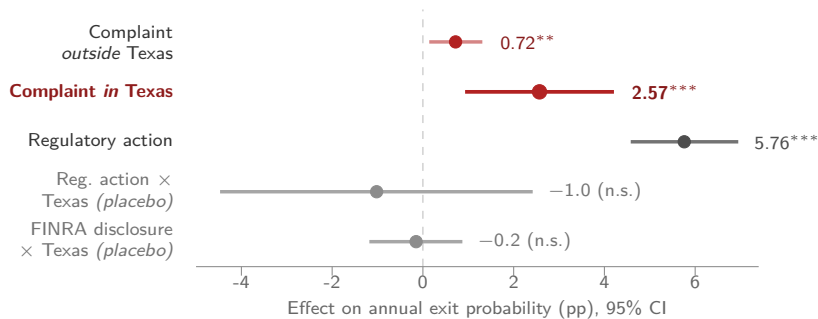


the gap between them is the coefficient

The Texas effect is identified off **653 agent-years with a confirmed complaint filed in Texas** (624 agents).

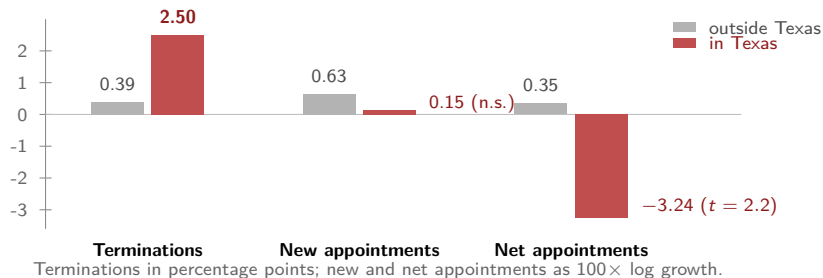
Texas has posted confirmed complaints naming the agent since at least 2007 (a portal since 2021), so disclosure covers the whole sample.

Public Complaints: 3.5 Times the Exit Response



- 0.72pp outside Texas, 2.57pp in Texas: **the Texas interaction is +1.85** ($t = 2.1$, clustered by agent). Two placebos on the same axis: the FINRA one is tight, the regulatory-action one is too noisy to say.
- **One treated state.** The same regression in each of the 26 states puts Texas first by t -statistic (rank 1 of 26). California alone, the best-powered control, is a precise zero; the 0.72 pools all 25 sealed states. Backup.

Carriers Respond the Same Way



- Where the complaint is public, carriers terminate **six times more often**. New appointments do not offset it. The agent's net number of appointments falls (suggestive; terminations are the firmer result).
- The effect follows where the complaint is *filed*, not where the agent lives (+2.56 against +0.31 on exit; backup).

A Second Test: Same Agent, Two Regulators

- **Holding the agent fixed.** Dual-registered agents are both an insurance agent and a FINRA broker. We hold the *person and the conduct fixed* and compare how the two industries respond.
- On the insurance side, where it is invisible, an insurance complaint predicts *no* exit (-0.07 , **n.s.**).
- On the brokerage side, where a firm supervises the representative, the *same* insurance complaint is followed by exit from brokerage (**+2.16pp**). The complaint itself is not on BrokerCheck. What the brokerage side adds is a firm that supervises.
- The one signal that predicts *insurance* exit for these agents is the public one: a FINRA disclosure ($+0.80pp$).

Credit Follows the Brokerage Record

- **Is there a cost outside the labor market?** Static and event-study estimates around first misconduct, matched to Experian; the panel keeps agents after exit (no survival bias).
- **Complaints and regulatory actions: no detectable effect** on credit score, defaults, delinquencies, or collections.
- **FINRA misconduct: small but significant** deterioration (-1.6 score, $+1.3$ pp default, $+\$54$ collections).
- The personal-finance effect appears after FINRA misconduct, not after either insurance record. Event studies in the backup.

Two Tests, One Story

- **What this does and does not isolate.** Brokerage differs in observability *and* in supervision, so this test cannot separate the two; Texas does. The two tests answer different objections and point the same way.
- **Personal credit agrees:** no detectable change after either insurance record, a small decline after FINRA misconduct.

Texas (*across* agents) and dual registration (*within* agent) point the same way. The signal is informative. Weak discipline is about **who observes it and whether they have a reason to act**. Here is what that gap looks like on one license record.

An Example: Barred by FINRA, Appointed 24 Times

FL Florida DFS licensee search

PIPENHAGEN, TERRENCE REID

License A207818, NPN 81085, Orlando

Five lines of authority, all valid: life (since 1978), life with variable annuity (since 1993), life & health, health, life with VA & health

Active appointments: 24. Humana, Aetna, Guardian, Principal, Nationwide, . . . (latest July 2026)

Administrative actions: none

Sources: Honigsberg, Hu and Jackson 2025 (JFE), who open with his case; Florida DFS bulk license and appointment files, 1 Sept 2026; LinkedIn. Public records only; he is not in our regression sample.

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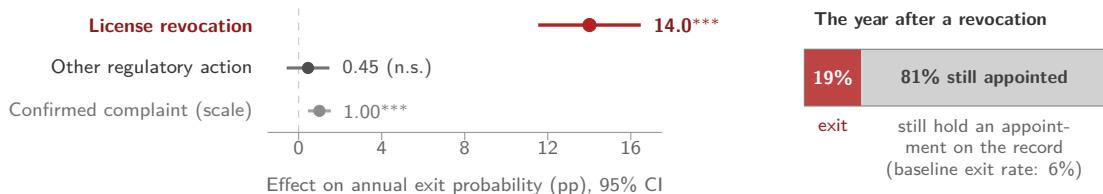
CFTC Fined \$150,000, 2010, and ordered never to register or claim an exemption.

LinkedIn September 2026: "Health Insurance Broker | Executive Benefits Consultant," wishing his network a happy Labor Day.

Three regulators, three records, and his own profile. **The one record a customer checks when buying insurance is the empty one.** Barred by FINRA and fined by the CFTC, still holding 24 appointments.

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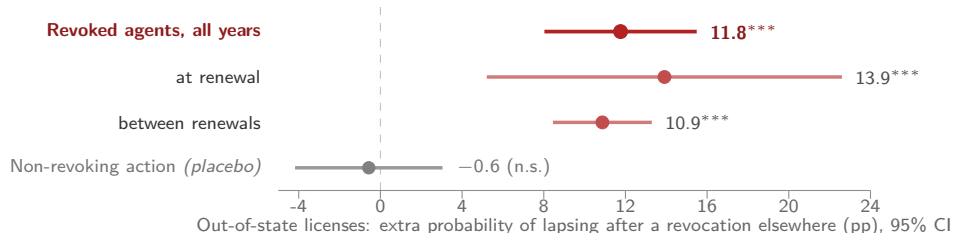
Four in Five Revoked Agents Stay



- **Only revocation moves exit.** Every regulatory action is public everywhere, so this is severity with observability held fixed. Fines, suspensions and orders move terminations (+1.6pp), and the agent is re-appointed.
- **Even revocation leaves four in five agents in the industry.** Licenses are state by state, so a revocation stops at the state line. The next slide shows what happens to the licenses elsewhere.

Revocation, the harshest sanction a regulator has, raises recorded exit from 6% to 19%.

A Revocation Stops at the State Line

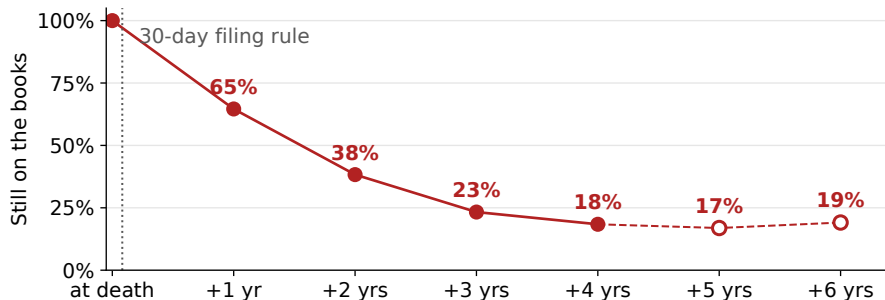


- **Within the revoking state, lines are not the leak.** A license that goes takes every line with it: 95% of in-state license losses after a revocation are the whole state.
- **Across states, the other regulators catch up slowly.** An out-of-state license is 13.9 points more likely to lapse at renewal and 10.9 points more likely between renewals. The two are not statistically different, so renewal timing is not what drives it. Most states renew every two years. Arizona renews every four.

Most of a revoked agent's out-of-state licenses stay in place.

Coarsened exact matching on licensing breadth and event year; agent and year fixed effects; non-revoking actions as the placebo.

Dead Agents Keep Their Appointments



- **How complete is the record itself?** Death is the easiest exit to file: unambiguous, undisputed, and the carrier faces the same 30-day termination rule that produces a broker's U5. Yet a year after the agent dies **65% of his appointments are still on the books**, 38% two years on, 23% three years on. Three years on, 57% of his appointments have lapsed unfilled, one in five has a filing, the rest are still open.
- Silence is common: 43.9% of *all* appointment endings have no filing. Among ended spells, dead agents run 13 points higher (57.2%).

Agent-carrier pairs live in the death year; each point on the cohort observable at that horizon (deaths through 2023 minus h); 47,904 pairs and 3,289 agents at three years. Experian deceased flag, which runs late, so every point is a floor.

What This Does to Our Estimates

- **Direction of the bias.** An exit that follows misconduct is more likely to be recorded than an ordinary exit, so under-recording biases the exit response *up*. Terminations the carrier files are recorded. If anything, the termination response is understated (backup).
- **Public check:** 935 people flagged deceased hold a currently valid Florida license in the state's own file (Aug 2026).

The one-point exit effect is likely an upper bound. Levels go the other way: under-recording lowers every exit level, so the 19% after a revocation is a floor.

Why Is the Penalty Weak? Four Frictions

- ① **Observability.** Complaints are not observable outside Texas.
- ② **Fragmentation.** Licensing is state by state, so a sanction removes only the revoking state's licenses; the broad agents keep the rest.
- ③ **Misaligned incentives.** Insurers can observe the agent, but they earn the premiums and bear little of the cost of his misconduct (not tested).
- ④ **A record nobody reads.** Four in ten appointment endings are never filed; one in four dead agents' appointments is still open.

Only the first is cheap to fix.

The Fix: One Missing Field

- NIPR's Producer Database already gives subscribing carriers one national record per agent: licenses, appointments, regulatory actions.
- **Confirmed complaints are the missing field.** Regulators already hold them, and a complaint on file makes the next one ten times more likely.
- Texas shows what follows when carriers can see them. A public "BrokerCheck for insurance" would extend that to screening vendors and customers, which even Texas has not done.

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Back to Corchado

Corchado's confirmed complaints began in 2015. A carrier appointing him in 2018, unless it had handled one of them, **had nowhere to look them up.**

Conclusion

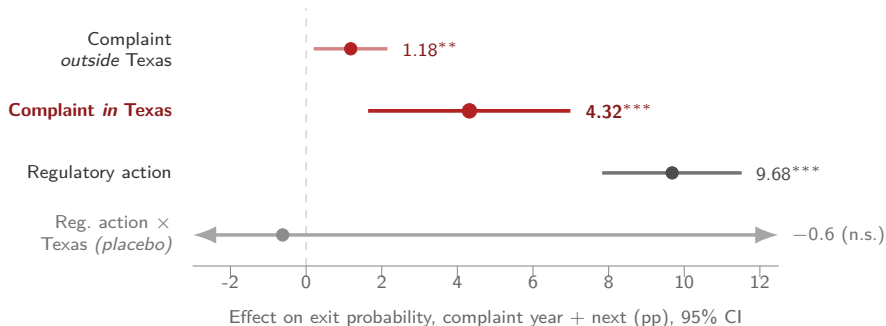
- Insurance-agent misconduct is persistent and predictable, yet the labor market penalty is weak.
- **Discipline is several times stronger where misconduct is public** (Texas) and on the brokerage side of the same agents. Even the strongest sanction, revocation, leaves most agents in the industry.
- An informative signal produces weak discipline **when the people who decide cannot see it**, or have little reason to act. The first step is one field on the industry's national file; the full step is a public "BrokerCheck for insurance."

Buyers can't judge what they're required to buy;
the market can't discipline what it can't see.

Thank you.

Backup slides

Backup: Rebuilt Panel: the Texas Interaction Survives



- **Two-year effects** (the complaint year plus the next, as plotted): 1.2pp outside Texas vs 4.3pp in Texas, a **Texas interaction of +3.1pp** ($p < 0.05$).
- The regulatory-action placebo is uninformative on this panel: -0.6 with a standard error of 7.6 (it is now defined by which regulator acted, and Texas has few such actions).
- **Same-year effects** on this panel: 0.26 (n.s.) outside Texas and a Texas interaction of +2.00 (10% level), against 0.72 and +1.85 in the paper's tables. **The Texas interaction is stable; the outside-Texas level is what moves.** Exit base here is 8.9%, not 6%. Carrier terminations here: Texas premium +2.1 (10% level), the same size.

Backup: What “Misconduct” Looks Like

- **In the data:** confirmed complaints are **56%** marketing and sales, and **31%** are referred for discipline. **817 agents** have two or more confirmed sales complaints and have *never* faced a regulatory action.
- **Karen Dondanville (CA)** is what that looks like on the ground. She collected home and auto premiums, never bought the coverage, and handed clients forged proof of insurance: 32 victims, \$183,000, one client absorbed \$100,000 when a claim hit. **Her California license lookup read “unrestricted” for the whole scheme; the first regulatory action came in 2019.** She pleaded to 90 counts in 2024.

The pattern the rest of the talk measures

The warning signs came first and went nowhere. Not one carrier, regulator, or customer could act on them, because none of them could see all of them.

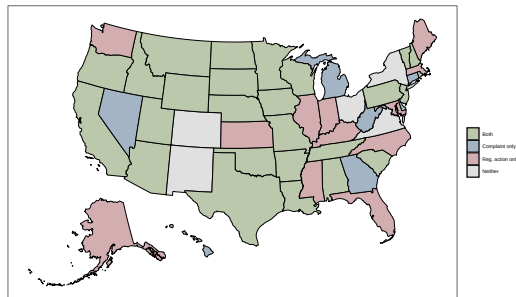
Backup: Data and Sample

Sources

- Discovery Data / NIPR: licensing, appointments, terminations
- NAIC: customer complaints, carrier financials
- State regulators: regulatory actions (scraped + FOIA)
- Experian: annual credit records
- FINRA BrokerCheck: cross-registration

Sample

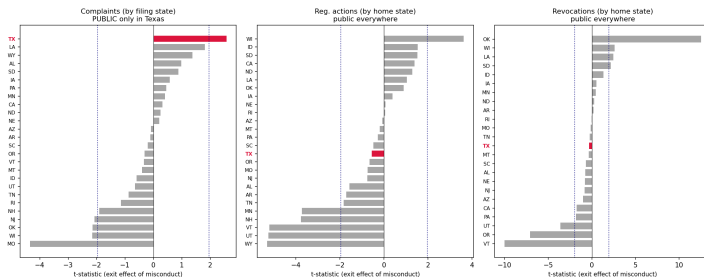
- **806,089 agents, 3,291,273 agent-years**
- 2017–2022; 26 states with both complaint and regulatory-action data



Sample-state coverage

Backup: Texas Against Every Other State

Per-state placebo: Texas is the only significant state for complaints (the signal it makes public), not for reg actions or revocations (public everywhere)



Per-state placebo: the exit effect of each signal, estimated state by state (all 26 states; t -statistics).

Complaints (public only in Texas): Texas is the only state with a significant positive effect, and its t is the largest of the 26 (randomization $p = 0.04$ one-sided, 0.08 two-sided). By raw coefficient it is 5th of 26 ($p = 0.19$), behind four states with 12 to 66 complaints each. California, the best-powered control (963 complaints), is a precise zero ($+0.19$, $t = 0.3$). WI, MO, OK and NJ are significantly *negative*, so the state-level null is overdispersed. Regulatory actions and revocations, public everywhere, show no Texas outlier. Texas stands out *only* for the signal it uniquely makes public.

Backup: Deaths Identify the Reporting Delay the General Sample Cannot

After a dual-registered agent dies (U5 date), share with *any* appointment terminated

	yr 0	+1	+2	+3
Deaths	21%	49%	56%	59%
Revocations	41%	53%	58%	62%
All appointments terminated by +2: 3%				

Kaplan-Meier. Deaths: 761 U5 deaths 2017–2022, median time from death to first termination 1.6 years. Revocations: all revoked agents holding appointments ($n = 2,054$). The all-appointments share is the 2017–2020 death cohort ($n = 454$).

- Death is a known-truth exit, so the death subsample **identifies the distribution of reporting delay** for exits and terminations generally.
- Deaths and revocations converge on the same **55–62% ceiling**: a property of the recording system, not of either event.
- Because a carrier that acts files its own record, a misconduct coefficient on terminations is the true response **scaled by between one-half and one**: a positive estimate is valid and understated; the bound is the estimate to twice the estimate.
- So the delay is a parameter we estimate, not a limitation we apologize for.

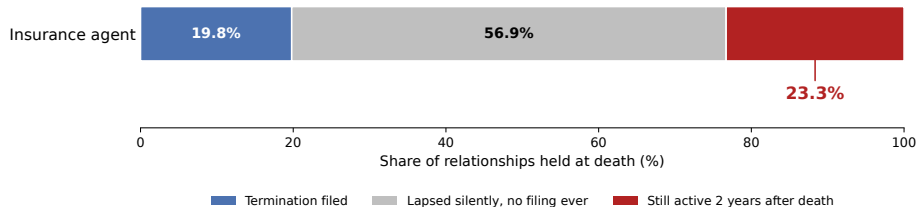
Backup: Why the Record Is Silent: Three Ways an Appointment Ends

	Cost to the carrier	Record created	What other carriers learn
Let it lapse at renewal	none	none	nothing
Terminate, no cause stated	none (saves the renewal fee)	a date	nothing
Terminate <i>for cause</i>	detailed report to the state	a sealed report	almost nothing [†]

[†] Under the Model Act the old carrier may tell a new one only *whether* a for-cause termination was reported, yes or no, with no detail; the report itself is confidential and privileged, and only a final adjudicated action becomes public.

- The informative path is the only one that costs something, and its output is privileged by statute: regulators see it, **no other carrier ever does**. The default path requires no affirmative act at all.
- **Why the brokerage record stays clean: an invoice.** Every November FINRA bills each firm for every representative in every state; unpaid registrations are **terminated automatically on January 1**, and firms file post-dated U5s in December to stop paying for people who have left. One national gate, on top of the 30-day U5 rule.
- **Insurance has no national gate.** Of our 26 states, 13 bill carriers annually for appointments (terminations cluster in the invoice month), 8 are *perpetual* (no invoice, no annual event; Texas is one), and 4 keep no appointment records at all. Two years after a death, 66% of dead agents in renewal states have a termination on file against 53% in perpetual states.
- So the silent endings are not negligence. They are the cheapest option in a system that, unlike brokerage, never forces the carrier to choose.

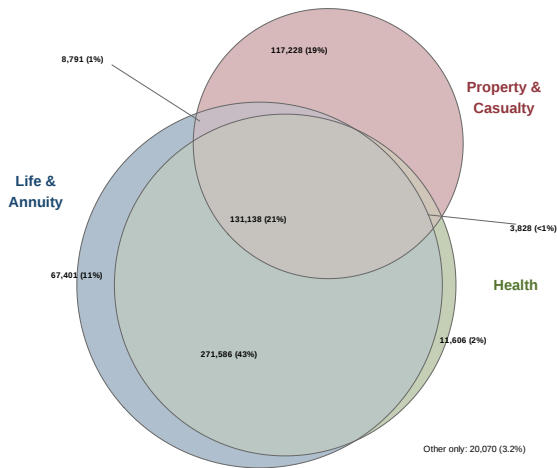
Backup: Dead Agents: Filed, Silent, Still Live



- Of the appointments a dying agent holds, a termination is filed for **19.8%** within two years, **56.9%** lapse with no filing ever, and **23.3% are still live more than two years after the death.**
- The filed share is what "carriers respond" means on the record; the silent share is the part of the record nobody writes.

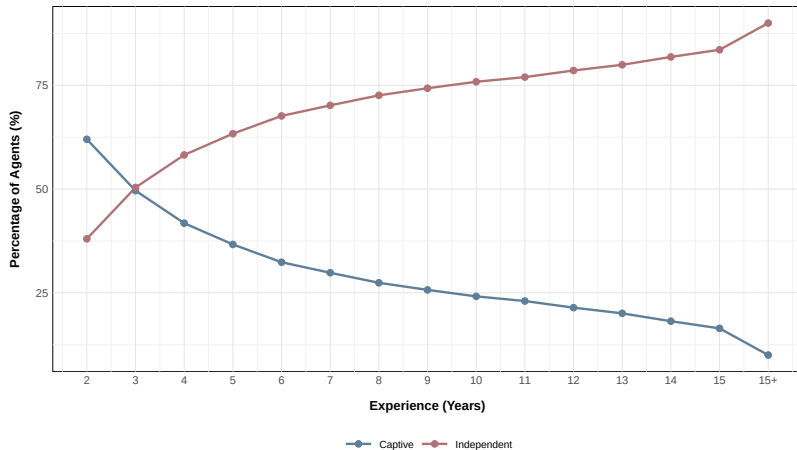
Deaths 2017–2020 so the two-year window is observable; Experian deceased flag, which runs late, so the still-live share is a floor.

Backup: Licensing Is Fragmented Across Lines of Authority



Overlap of major lines of authority (life & annuity, health, P&C).

Backup: Agents Drift from Captive to Independent with Experience

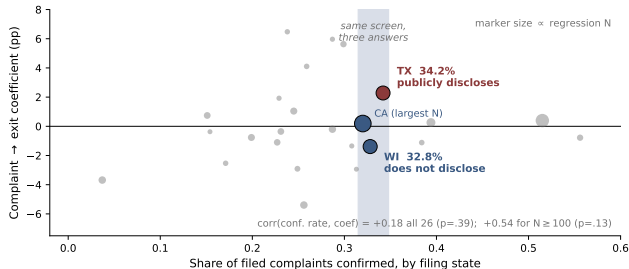


Business-model shares by years of experience.

Backup: “Is Texas Different?” Per-State Placebo

- We replace the Texas interaction with each other state, one at a time.
- **Texas is the only state with a significantly positive effect**, and the only state where complaints are public.
- Predictability of complaints does *not* differ in Texas (Panel A), and reg-action / FINRA interactions with Texas are null (public everywhere). Not what a generic “Texas is unusual” story predicts.
- **Filing state vs. agent location (2×2)**. Exit effect of a complaint: filed in TX & agent based in TX **+2.56** ($t = 3.0$); filed in TX, agent based elsewhere +2.27 ($t = 0.6$, 25 obs.); filed elsewhere, agent based in TX +0.31 ($t = 0.2$). **The effect travels with where the complaint is posted, not where the agent lives.**
- **Texas HB 4030 (Sept 2021)** abolished sub-agent appointments and created a wave of new Texas appointment records. It cannot create exits: the within-Texas cell is +2.35 ($t = 2.6$) on 2017–2020 alone and the post-2021 interaction is -0.6 ($t = -0.3$). The exposure is appointment-side outcomes in 2021–22, which we flag.

Backup: Does Texas Confirm a *Different Kind* of Complaint?



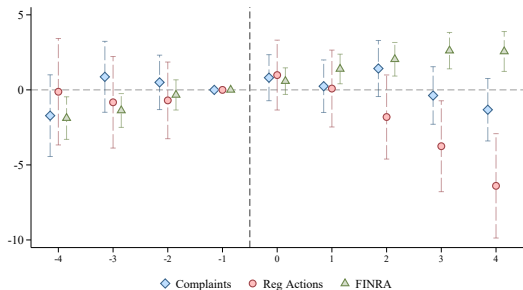
- **The worry.** If Texas's screen confirms a more severe set, the coefficient is bigger because Texas complaints are *worse*, not *public*.
- Texas confirms **34.2%**; the range runs 3.7% (OK) to 59.7% (FL), pooled 25.7%. **Texas sits mid-distribution.**
- **The sharp version.** **TX 34.2%, WI 32.8%, CA 32.0%:** one screen, three answers (+2.28, -1.39, +0.19). TX and WI match on *treated agent-years* (653 vs. 662) and differ by **+3.67 pp ($t = 3.3$)**.
- **Where it is not clean.** The relation is positive but insignificant ($r = +0.18$, $p = .39$; $+0.54$ for $N \geq 100$, $p = .13$), and several non-disclosing states are significantly *negative*. That dispersion is why we report randomization inference alongside the clustered p .

Backup: Ex-Ante Screening Logit (Table A4)

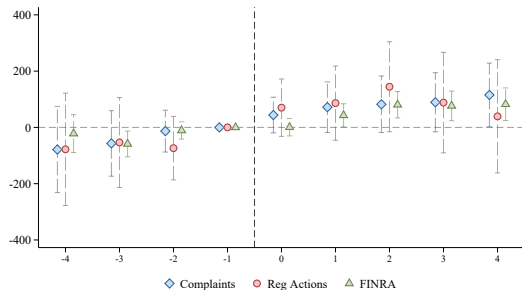
- Logit of next-year confirmed complaint on prior misconduct + observable controls, *no* fixed effects (a feasible screening rule).
- Prior complaints and prior regulatory actions both strongly positive.
- The 5% highest-predicted-risk agent-years account for **30.8%** of next-year misconduct, **6.2×** a random 5% screen.
- The predictability survives a demanding fixed-effects ladder (down to county×year×license-portfolio) and an Oster-bound check for selection on unobservables.

Backup: Credit Event Studies, Defaults and Collections

Any new default (pp)



Collections balance (\$)



Event time relative to first misconduct; complaints, regulatory actions, and FINRA misconduct plotted separately. VantageScore is on the main credit frame; delinquencies available on request.

Backup: Three Differences from Brokers

- ① **No single regulator sees the whole agent.** Licensed state by state and line by line; the median agent is licensed in one state, broad agents in dozens.
- ② **No single employer.** Many carriers appoint the same agent and each decides alone whether to keep him.
- ③ **Misconduct is recorded but hidden.** Complaints sit with regulators; a carrier sees only its own products' complaints, **except in Texas**. Regulatory actions are visible everywhere.

About 22% are *dual-registered*, also FINRA brokers selling variable annuities, so two regulators keep a file on the same person. That gives a second comparison.